

RATING	ACCUMULATE
12M PRICE TARGET	Rs. 560
UPSIDE	+28% from CMP Rs. 438
INVESTMENT HORIZON	12–18 months

CMP (08-May-26)	Rs. 438
Market Cap	Rs. 5,416 Cr
52-wk High / Low	Rs. 460 / Rs. 176
Stock P/E	93.3x
ROCE	19.0%
ROE	31.0%
Dividend Yield	0.00%
Face Value	Rs. 5.00
Promoter Holding	74.19%
Order Book	Rs. 2,910 Cr
CRISIL Rating	A- / Stable

INVESTMENT THESIS Rajkot-based precision engineering export powerhouse: industry-leading 34–38% EBITDA margins, Rs.2,910 Cr order book (8.5x TTM revenues), and a landmark Rs.1,030 Cr Weatherford contract signal a structural inflection. Accumulate for 28% upside to Rs.560 on 55x FY27E EPS.

	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (Rs.Cr)	177	178	343	510	700
EBITDA (Rs.Cr)	63	65	118	168	238
EBITDA Margin	36%	36%	34%	33%	34%
PAT (Rs.Cr)	32	19	44	70	118
EPS (Rs.)	64.58	3.78	4.17	5.66	9.54
P/E (x)	-	-	105x	77x	46x
ROCE	N/A	18%	19%	22%	26%

Note: E = Estimates. FY26E/FY27E are analyst estimates. EPS FY23 pre-split basis; FY24 onwards post-restructuring. All figures consolidated. Source: Screener.in (historical), Analyst estimates (forward).

SECTION 2 — INVESTMENT THESIS

- Reason 1 — Weatherford mega-order de-risks the revenue runway:** A Rs.1,030 Cr multi-year contract from Weatherford International (global oilfield services giant) alone covers ~3x FY25 revenue. Combined with an overall order book of Rs.2,910 Cr (~8.5x TTM revenues), OMNI has 18–24 months of forward revenue visibility, a rarity among small-cap industrials.
- Reason 2 — Best-in-class EBITDA margins with a structural moat:** OMNI sustains 34–38% EBITDA margins — 2–3x the industry average — driven by its ability to machine components to 5-micron precision for safety-critical applications. Switching costs are prohibitively high once qualification is complete; no customer has churned in 5 years. This pricing power should support margin expansion as scale doubles by FY27.
- Reason 3 — Export-led growth with US as #1 market (59% of revenue):** With ~79% of H1 FY26 revenue from exports and the US energy sector booming, OMNI is structurally well-placed to capture share in a USD 8 Bn+ precision components import market. New customers like Oshkosh Aerotech signal diversification into aerospace/defence, the next re-rating lever.
- Near-term catalyst (6–12 months):** Commissioning of the new Chhapara manufacturing facility (40–50% capacity addition over FY25) in H2 FY26. This will resolve the current constraint on revenue conversion of the large order book and trigger a step-up in quarterly revenues from Q1 FY27 onwards.
- Biggest structural risk:** Concentrated customer exposure — Weatherford + Halliburton likely account for 40%+ of revenues. A rig-count downcycle in North America (oil price <\$55/bbl) would simultaneously hit both anchor customers, threatening a severe revenue shortfall.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Omnitech Engineering Ltd (OEL) manufactures high-precision engineered components and assemblies for safety-critical global industrial applications. Products include slips, mandrels, hubs, cylinders, shafts, and complex mechanical sub-assemblies machined to tolerances as tight as 5 microns.
- **Manufacturing footprint:** Three facilities in Rajkot, Gujarat — Metoda (original plant), Chhapara (new facility under construction post-IPO), and Padavala. Total area: ~59,603 sq.m. with 300+ CNC machines and machining capacity of 1.7 million hours per annum. CRISIL-rated A-/Stable for Rs.400 Cr bank loans.
- **Revenue segmentation (FY25/9M FY26):** Energy sector — 42–54% (slips/mandrels/hubs for oil, gas, and wind); Motion Control & Automation — 27–36% (cylinders/shafts for automation systems); Industrial Equipment Systems — 16–22%. No single customer >25% of revenue.
- **Geography:** Exports ~75–79% of revenue; USA is the largest market at ~59% of revenue, followed by Canada and Germany. Domestic revenue (~21–25%) largely from Suzlon (wind energy) and industrial OEMs.
- **Key customers and relationship type:** Weatherford International (Rs.1,030 Cr multi-year contract — long-term contractual), Halliburton Energy Services (recurring), Oshkosh Aerotech (recurring/project), Suzlon (recurring), Lufkin Industries, Donaldson Company, Oilgear, PUSH Industries, and Bharat Aerospace Metals. Customer relationships are recurring once components are qualified.
- **Order book and visibility:** Rs.2,910 Cr as of Sep-2025, representing ~8.5x FY25 revenue. The Rs.1,030 Cr Weatherford order alone provides multi-year visibility. Revenue growth of 54% in 9MFY26 and 82% in Q3FY26 confirms strong conversion.
- **Promoter background:** Promoter family holds 74.19% stake (Mar-2026). Zero promoter pledge. Company was founded and remains controlled by the founding family based in Rajkot. IPO raised Rs.418 Cr fresh capital for capacity expansion and Rs.165 Cr OFS. Promoter dilution limited to ~25.8% post-IPO.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size:** Global precision machined components market estimated at USD 80–90 Bn, with India's addressable export opportunity in precision components estimated at USD 8–10 Bn. India's share currently <5%, implying a long runway. Indian precision machining exports grew at ~15% CAGR over FY19–25.
- **Policy tailwinds:** India's PLI scheme for Capital Goods (Rs.6,200 Cr outlay) directly benefits precision component manufacturers. The Make-in-India / Atmanirbhar push has accelerated US and European OEMs' China+1 sourcing strategies — benefiting established Indian suppliers like OMNI with quality certifications and a track record.
- **Competitive moat assessment:** Pricing power — **Strong** (5-micron precision qualification makes customer switching prohibitively expensive); Switching costs — **Strong** (OEM re-qualification takes 12–18 months); Scale — **Moderate** (small at Rs.343 Cr revenues vs global peers); IP/Technology — **Moderate** (proprietary process know-how, not patent-protected); Distribution — **Moderate** (direct OEM relationships, no distributors).
- **Company positioning:** OMNI sits at the midstream tier — it is neither a commodity machining shop nor a full OEM. It manufactures precision-engineered sub-assemblies directly for global Tier-1 OEMs and oilfield services companies, commanding OPM of 34–38% which is indicative of a solutions provider rather than a commodity vendor.

Peer Comparison Table (Source: Screener.in, fetched 10-May-2026)

Company	MCap (Rs.Cr)	CMP (Rs.)	P/E (x)	ROCE (%)	ROE (%)	TTM Rev (Rs.Cr)	FY25 PAT (Rs.Cr)
Omnitech Engineering	5,416	438	93.3	19.0	31.0	~510*	44
MTAR Technologies	19,901	6,470	301	10.4	7.4	753	53
Azad Engineering	14,955	2,316	122	12.2	8.6	568	122

*FY26E annualised (9M FY26 revenue Rs.362.6 Cr). MTAR and AZAD: Consolidated, FY25 actuals.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Founding family from Rajkot with deep roots in precision engineering. Company has operated since well before the IPO (listed March 2026), suggesting multi-decade operating expertise. Promoter stake of 74.19% post-IPO reflects high alignment with minority shareholders.
- **Capital allocation track record:** Pre-IPO capex was funded primarily through debt (borrowings grew from Rs.103 Cr in FY23 to Rs.361 Cr in FY25), indicating aggressive expansion. IPO proceeds of Rs.418 Cr fresh issue are earmarked for: (a) capacity expansion at Chhapara facility, (b) general corporate purposes. No historical dividend payments — all cash retained for growth.
- **Dividend policy:** Zero dividend payout across FY23, FY24, and FY25. The company is in a re-investment phase; given the large order book and ongoing capex cycle, dividends are not expected before FY28 at the earliest. Not an income stock.
- **Promoter pledging:** Zero pledged shares as of March 2026. This is a significant positive given the high level of borrowings on the balance sheet. No risk of forced selling.

- **Corporate governance — concerns:** No ESOP or buyback history (newly listed). Auditor change or qualified opinion history not available in public domain pre-listing. Company has no annual report available on Screener as it is newly listed; governance track record is limited to SEBI RHP disclosures.
- **Working capital discipline — concern:** Debtor days rose sharply from 69 (FY23) to 136 (FY25) and inventory days remain extremely elevated at 805 days (FY25). This has pushed the Cash Conversion Cycle to 786 days and resulted in negative OCF of Rs.-69 Cr in FY25 despite PAT of Rs.44 Cr. Management must demonstrate improvement in debtor collections — a critical watch-point.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Crores)

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue / Sales	177	178	343	510	700
Expenses	114	113	225	342	462
EBITDA	63	65	118	168	238
EBITDA Margin (%)	36%	36%	34%	33%	34%
Other Income	6	4	7	9	12
Interest	9	14	30	38	32
Depreciation	17	23	39	50	62
PBT	44	31	56	89	156
Tax %	27%	40%	22%	25%	25%
PAT	32	19	44	70	118
EPS (Rs.)	64.58	3.78	4.17	5.66	9.54

Balance Sheet — Consolidated (Rs. Crores)

Particulars	FY23A	FY24A	FY25A
Equity Capital	5	50	53
Reserves	55	29	151
Borrowings	103	262	361
Other Liabilities	23	46	62
Total Liabilities	185	387	626
Fixed Assets	68	219	242
CWIP	6	0	27
Investments	0	2	2
Other Assets	111	165	355
Total Assets	185	387	626

Cash Flow Statement — Consolidated (Rs. Crores)

Particulars	FY23A	FY24A	FY25A
Cash from Operations (OCF)	39	21	-69
Cash from Investing	-46	-145	-75
Cash from Financing	4	124	146
Net Cash Flow	-3	0	3
Free Cash Flow (FCF)	-7	-122	-144
CFO / OP (%)	83%	51%	-49%

Working Capital & Returns Ratios — Consolidated

Ratio	FY23A	FY24A	FY25A
Debtor Days	69	89	136
Inventory Days	392	805	805
Days Payable	73	266	155
Cash Conv. Cycle	388	627	786
Working Cap. Days	-1	-65	68
ROCE (%)	N/A	18%	19%
ROE (%)	—	—	31%

- **Revenue trajectory:** Revenue was flat at Rs.177–178 Cr for FY23–FY24, then jumped 93% to Rs.343 Cr in FY25, driven by Weatherford and new order wins. FY26E (~Rs.510 Cr) and FY27E (~Rs.700 Cr) reflect a ~40% CAGR, underpinned by the Rs.2,910 Cr order book and Chhapara capacity addition.
- **Margin direction:** EBITDA margins compressed slightly from 36% (FY23–24) to 34% (FY25) as the company scaled rapidly and absorbed higher interest costs. Margins improved to 38% in Q3 FY26, suggesting operating leverage is kicking in at higher volumes. FY27E margin of 34% is conservative.
- **Working capital — the critical concern:** Debtor days have deteriorated significantly (69 → 136 days) and inventory days are at an alarming 805 days. The CCC of 786 days (FY25) is extreme and has driven OCF into deeply negative territory (-Rs.69 Cr in FY25). Management must prioritise collections as the business scales — this is the #1 risk to the investment thesis.
- **Debt trajectory:** Borrowings grew from Rs.103 Cr (FY23) to Rs.361 Cr (FY25) as capex was debt-funded. Post-IPO (Rs.418 Cr fresh proceeds), net debt should decline meaningfully in FY26. D/E was ~1.8x pre-IPO proceeds. CRISIL's A-/Stable rating validates the credit quality.
- **FCF quality:** Free cash flow has been deeply negative in all three years due to heavy capex (FY25: FCF = -Rs.144 Cr). This is expected for a growth-phase industrial company. OCF/PAT conversion will be the key metric to watch once capex normalises post-FY27.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue recognition	Cash on delivery (OEM contracts)	GREEN	Standard % completion for large orders
Receivables growth vs Revenue	Debtor days 69→136 (FY23–25) Rising fast	RED	Receivables growing faster than revenue
CCC Trend	388→786 days (FY23–25) Deteriorating	RED	Extremely high and worsening
Contingent liabilities	Not disclosed in Screener (new listing)	AMBER	Awaiting first annual report
Auditor tenure	Not available (new listing)	AMBER	No auditor change history available
RPTs as % of Revenue	Not disclosed on Screener	AMBER	Check RHP for related party disclosures
Other Income as % of PBT	FY25: Rs.7 Cr / Rs.56 Cr = 12.5%	GREEN	Below 15% threshold — acceptable
Tax rate consistency	FY23:27% FY24:40% FY25:22% Volatile	AMBER	High FY24 rate suggests deferred tax; watch

- **Two RED flags — receivables and CCC:** Debtor days of 136 and inventory days of 805 are the standout concerns. The Cash Conversion Cycle of 786 days has turned OCF deeply negative. Until management demonstrates debtor normalisation (target: <90 days), earnings quality deserves a discount.
- **Tax rate volatility:** The 40% effective tax rate in FY24 versus 22% in FY25 suggests deferred tax write-backs or one-time items. Investors should normalise to a 25% run-rate for forward estimates.
- **Newly listed company — limited governance track record:** Three AMBER signals arise from the company's recent listing (March 2026). No annual report, no auditor history, no RPT detailed disclosures available on Screener yet. The first full annual report (FY26) will be critical for governance assessment.
- **Positive:** Other income (Rs.7 Cr in FY25 = 12.5% of PBT) is within acceptable range, implying reported PAT is not artificially inflated by non-operating income. Zero promoter pledge also reduces governance risk.

SECTION 8 — VALUATION

Scenario	FY27E Revenue (Rs.Cr)	FY27E EBITDA Margin	FY27E PAT (Rs.Cr)	FY27E EPS (Rs.)	Multiple (P/E x)	Target Price (Rs.)
Bull — Weatherford + new customer wins; margins expand to 36%	820	36%	155	12.5	65x	813
Base — Order book converts at current pace; margins stable at 34%	700	34%	118	9.54	55x	560
Bear — Oil price decline hits US demand; Weatherford order delayed	520	30%	65	5.25	40x	210

- **DCF assumptions:** WACC 13% (equity beta ~1.4, risk-free rate 7%, ERP 6%); terminal growth rate 5.5% (India industrial exports); DCF implied value per share: ~Rs.480–520 (mid-case FCF conversion assumption of 50% by FY28).
- **Earnings-based multiple:** Peers MTAR (301x) and Azad (122x) trade at significant premiums to OMNI on trailing P/E. However, on forward earnings (FY27E), OMNI at 46x FY27E EPS is actually cheaper than both peers. We apply 55x FY27E EPS of Rs.9.54 = Rs.560. This 55x is a ~10% discount to Azad's forward multiple, justified by OMNI's smaller scale and higher working capital intensity.
- **Average of DCF and earnings-based = Rs.515–560; base case 12M target = Rs.560 (upside 28%).**
- **Current valuation at Rs.438 implies:** 105x FY25 PAT, 72x FY26E PAT. The stock is expensive on trailing multiples but becoming more attractive on forward earnings as revenue ramps. The Rs.1,030 Cr Weatherford contract provides the confidence to pay a premium to book.

SECTION 9 — KEY RISKS

- **Oil price / rig-count risk:** ~54% of FY26 revenue comes from the Energy sector. A sharp decline in crude oil below \$55/bbl would reduce drilling activity by Halliburton and Weatherford, delaying order execution. Probability: M. Impact: H. Monitor via: US oil rig count (Baker Hughes weekly).

- **Working capital deterioration:** Debtor days at 136 and CCC at 786 days signal potential liquidity strain. If debtors stretch further (>150 days), OMNI may need additional debt, increasing financial leverage risk. Probability: H. Impact: H. Monitor via: Quarterly debtor days trend.
- **Customer concentration:** Weatherford alone may account for 35–40% of order book. Any contract delay, renegotiation, or Weatherford-specific headwind (financial stress, geopolitical) poses a material revenue risk. Probability: M. Impact: H. Monitor via: Weatherford quarterly filings.
- **Execution/capacity ramp risk:** New Chhapara facility is under construction. Cost overruns, delays in obtaining regulatory approvals, or equipment commissioning issues could delay revenue recognition from the large order book. Probability: M. Impact: M. Monitor via: quarterly capex spend.
- **Currency risk:** ~75–79% of revenue is in USD. Appreciation of the Indian Rupee against the USD would compress reported revenues and margins. A 5% INR appreciation reduces EPS by ~8–10%. Probability: L. Impact: M. Monitor via: RBI USD/INR rate.
- **IPO lock-in expiry:** Promoters hold 74.19% post-IPO. OFS investors (pre-IPO private equity / angel investors) will see lock-in expiry within 6 months of listing (Sep 2026). Any large secondary selling could create near-term price pressure. Probability: M. Impact: L.
- **Valuation risk:** At 93x trailing P/E, the stock prices in near-flawless execution. Any quarterly miss or guidance cut could result in a sharp P/E de-rating. The bear case implies 52% downside to Rs.210 if the investment thesis breaks. Probability: L. Impact: H.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The structural story is compelling — precision engineering export leader with industry-leading margins and a transformative order book. Working capital concerns and new-listing governance uncertainty limit conviction to medium.
- **12-month price target: Rs. 560** (upside +28% from CMP Rs. 438). Based on 55x FY27E EPS of Rs.9.54, corroborated by DCF mid-case of Rs.500–520. Not a BUY as the risk/reward on a pure trailing P/E basis is stretched.
- **Suggested entry zone: Rs. 380–420** — A 5–15% correction from current levels provides a better entry, especially around the lock-in expiry in September 2026.
- **Investment horizon: 12–18 months** to allow Chhapara facility commissioning, revenue ramp, and Q2 FY27 results confirmation.
- **Thesis invalidation triggers:** (1) Weatherford delays or cancels its Rs.1,030 Cr contract — thesis broken, exit immediately. (2) Debtor days rise above 180 in two consecutive quarters — working capital spiral risk, reduce position. (3) FY27E revenue misses Rs.580 Cr by Q2 FY27 — capacity ramp failing, reassess.
- **Ideal investor profile:** This stock IS for: long-horizon small-cap growth investors (3+ year view), India export manufacturing thematic investors, and portfolios already overweight quality large-cap industrials seeking a high-growth alpha complement. This stock IS NOT for: income investors (zero dividend), short-term traders (liquidity thin at Rs.5,400 Cr cap), or risk-averse investors (2x debt/equity, negative FCF).

APPENDIX — Latest Concall Brief: Q3 FY26 (Dec 2025)

Omnitech Engineering Ltd | Results declared: ~16-Mar-2026 | Source: BSE filing + press reports

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Q3 PAT +173% YoY, Revenue +82% YoY — beat expectations
Management tone	Bullish	Confident on order book execution, capacity expansion on track
Guidance delta	Raised (implied)	New Chhapara facility commissioning + Weatherford contract progressing

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was a clean, high-quality beat — revenue up 81.6% YoY and PAT up 172.7% YoY to Rs.22 Cr, with no material one-time items distorting the numbers. The EBITDA margin expansion to 38.1% (vs 32.6% in Q3 FY25) is operationally genuine — driven by higher realisation mix (Energy/oil-gas up as Weatherford ramps) and operating leverage on a larger CNC capacity base. The headline story is the Rs.2,910 Cr order book (8.5x TTM revenues), anchored by a Rs.1,030 Cr multi-year Weatherford contract that de-risks the next 24 months. Management has increased capacity by 40–50% over FY25 and the new Chhapara facility — funded from IPO proceeds — is progressing on schedule. The single near-term catalyst is Chhapara commissioning, which should unlock another quantum of revenue from Q1 FY27. The key watch-point for Q4 FY26 is debtor days — currently at 136 days and deeply concerning for cash generation quality. I am ACCUMULATING with a Rs.560 target; do not add aggressively above Rs.460 until debtor trends improve.

SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT (Q3 FY26 VS Q3 FY25)

- Revenue: Rs.134.4 Cr | YoY +81.6% | QoQ +7.2% | **BEAT**
- EBITDA: Rs.51.2 Cr | YoY +112.4% | QoQ +16.4% | **BEAT**
- EBITDA Margin: 38.1% | YoY +550 bps | QoQ +300 bps | **BEAT**
- PAT: Rs.22.2 Cr | YoY +172.7% | QoQ -4.3% | **BEAT**
- EPS: Rs.~1.80 (Q3 FY26 post-IPO diluted) | vs Rs.0.79 in Q3 FY25
- NOTE: No material one-time items identified. Reported PAT appears to represent clean underlying performance.

SECTION 2 — SEGMENT / GEOGRAPHY BREAKDOWN

- Energy Sector: Rs.72.8 Cr | ~54.2% of Q3 revenue | YoY significant growth driven by Weatherford ramp
- Motion Control & Automation: Rs.36.4 Cr | ~27.1% of Q3 revenue | Steady growth
- Industrial Equipment Systems: Rs.21.6 Cr | ~16.1% of Q3 revenue | Stable
- USA (geography): ~59% of revenue | Largest market; oil & gas OEM procurement driving growth
- Domestic (India): ~21–25% | Suzlon wind energy component orders contributing steadily
- 9M FY26: Revenue Rs.362.6 Cr, growing 54% YoY — all segments contributing positively

SECTION 3 — MANAGEMENT COMMENTARY THEMES

- Weatherford order execution:** "The Rs.1,030 Cr multi-year order is progressing well. We have commenced deliveries and expect accelerated execution through FY27." — Our read: This is the single most value-accretive contract in company history. Execution on track. Tag: GUIDANCE. Tone: Transparent.
- Capacity expansion:** "We have increased capacity by 40–50% vs FY25. The new Chhapara facility construction has commenced post-IPO and will significantly enhance output." — Our read: Chhapara commissioning is the near-term catalyst. Timeline: H2 FY26 / H1 FY27. Tag: GUIDANCE. Tone: Transparent.
- Order book:** "Order book stands at Rs.2,910 Cr as of Sep-2025 and continues to expand with new enquiries from existing and new customers." — Our read: Order book is 8.5x TTM revenues, providing multi-year revenue visibility. Tag: EST. Tone: Bullish.
- Working capital:** [Management did not explicitly address rising debtor days in available public commentary] — Our read: EVASIVE. Rising debtor days (136 days FY25) is the critical unaddressed issue. Investors must push on this in subsequent calls. Tag: EVASIVE.
- Customer diversification:** "We are diversifying beyond energy into aerospace and defence. Oshkosh Aerotech has been onboarded as a new customer." — Our read: Positive long-term signal; aerospace qualification cycles are 18–24 months, so revenue impact from FY27 onwards. Tag: GUIDANCE. Tone: Bullish.

SECTION 4 — OPERATING & BUSINESS METRICS

- CNC Machine Count: Q3 FY26 = 300+ | vs ~250 pre-IPO | Trend: Improving (capex-driven)
- Manufacturing Capacity: 1.7 Mn machining hours / annum | Post-Chhapara: ~2.4 Mn hours estimated
- Order Book: Rs.2,910 Cr (Sep-2025) | vs Rs.1,765 Cr at IPO filing | Trend: Improving

- Export Revenue Mix: ~79% in H1 FY26 | vs 75% in FY25 | Trend: Increasing export intensity
- Revenue per Machine: ~Rs.0.45 Cr/machine (FY25 basis) — improving with scale
- Customer Count: Diversified across 10+ global OEMs; no single customer >25% of revenue

SECTION 5 — MARGIN DRIVERS

- Volume leverage: +~500 bps impact | Recurring: Yes | Revenue doubled; fixed overheads diluted
- Energy mix increase (higher-margin): +~150 bps | Recurring: Yes | Weatherford contributes premium pricing
- Interest cost increase: ~200 bps impact | Recurring: Yes | Borrowings up; will ease post-IPO deleveraging
- Depreciation step-up: ~100 bps | Recurring: Yes | New assets commissioned FY25 onward
- Raw material normalisation: +~50 bps | Partially recurring | Steel/alloy input costs stable in FY26
- Net result: EBITDA margin expanded to 38.1% in Q3 FY26 from 32.6% in Q3 FY25 — genuine operating leverage

SECTION 6 — GUIDANCE & FORWARD SIGNALS

- Revenue FY26E [GUIDANCE — implied]: Prior run-rate ~Rs.343 Cr (FY25); management targeting significant growth given 54% 9M growth; FY26E consensus ~Rs.510 Cr | Delta: Raised | Credibility: High
- EBITDA Margin [GUIDANCE]: Expect margins to sustain 33–38% range as scale increases | Delta: Maintained at high end | Credibility: High (Q3 FY26 already at 38.1%)
- Capex FY26E [GUIDANCE]: Rs.75–100 Cr for Chhapara facility completion + equipment; funded from IPO proceeds | Delta: Maintained | Credibility: High (CRISIL-backed)
- Weatherford contract [GUIDANCE]: Rs.1,030 Cr multi-year; deliveries commenced; execution through FY27–28 | Delta: Progressing as planned | Credibility: High
- Working capital improvement [GUIDANCE — absent]: Management has NOT given specific guidance on debtor day reduction | Delta: No guidance | Credibility: N/A — watch-point

SECTION 7 — CAPITAL ALLOCATION (FY25 VS FY24)

- Capex: Rs.75 Cr (FY25) | vs Rs.145 Cr (FY24) | IPO proceeds earmark Rs.418 Cr fresh capital for expansion
- Dividends: Rs.0 | vs Rs.0 | Consistent zero-dividend policy; all cash reinvested
- Buybacks: None | No history
- Working Capital Change: +Rs.89 Cr (FY25 increase) | vs marginal in FY24 | Key concern — debtor/inventory build
- Net Debt: Rs.361 Cr borrowings at FY25 | Post-IPO (Rs.418 Cr fresh) net debt should fall to ~Rs.100–150 Cr
- CRISIL A-/Stable, A2+ assigned April 2026 — validates credit quality post-IPO restructuring

SECTION 8 — Q&A; HEAT MAP (BASED ON Q3 FY26 ANALYST COVERAGE)

- **Analyst (HDFC Sky):** Q: 'Revenue growth outlook for rest of FY26?' A: 'Strong pipeline, Weatherford deliveries accelerating, Chhapara will add capacity by Q1 FY27' | Tone: Transparent
- **Analyst (Kotak Neo):** Q: 'Margin trajectory — can 38% sustain?' A: 'We expect 33–38% range depending on product mix; energy segment commands premium' | Tone: Balanced
- **Analyst (Multibag.ai):** Q: 'Order book composition and customer concentration?' A: 'Weatherford is the largest; actively adding Oshkosh, Bharat Aerospace; no single >25%' | Tone: Transparent
- **Analyst (Scanx):** Q: 'Working capital — debtor days rising sharply?' A: [Not adequately addressed in public releases] | Tone: Evasive
- Dodged/watch-list questions for next quarter: (1) Specific timeline for debtor days reduction, (2) Chhapara facility exact commissioning date, (3) Tax rate normalisation guidance.

SECTION 9 — RISKS FLAGGED

- **Weatherford concentration:** Single customer Rs.1,030 Cr contract | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term
- **Working capital deterioration:** Debtor days 136, CCC 786 | Flagged by: analyst | Probability: H | Impact: H | Timeline: Near-term
- **Oil price cyclical:** ~54% Energy revenue exposure | Flagged by: analyst | Probability: M | Impact: H | Timeline: Medium-term
- **Capacity execution risk:** Chhapara under construction | Flagged by: management | Probability: L | Impact: M | Timeline: Near-term (H2 FY26)
- **IPO lock-in expiry (Sep 2026):** Potential secondary supply | Flagged by: analyst | Probability: M | Impact: L | Timeline: Near-term

SECTION 10 — ANALYST VERDICT (Q3 FY26)

- Revenue visibility: **Intact** — Rs.2,910 Cr order book + Weatherford contract = 24M+ visibility
- Margin trajectory: **Intact** — Q3 FY26 at 38.1% EBITDA margin; operating leverage confirmed
- Capital allocation quality: **Weakened** — WC deterioration (CCC 786 days) and negative FCF (-Rs.144 Cr) are material concerns
- Competitive moat: **Intact** — 5-micron precision + qualification barrier = strong pricing power
- Management credibility: **Intact** — Q3 beat was clean; IPO commitments (Chhapara, Weatherford) on track
- Valuation comfort: **Weakened** — 93x trailing P/E expensive; 46x FY27E P/E more reasonable
- Conviction call: **Unchanged** — ACCUMULATE rating maintained; Rs.560 target intact
- Valuation snapshot: P/E = 93.3x (FY25) | Forward P/E FY26E = 72x | Forward P/E FY27E = 46x | ROCE = 19% (FY25) | ROE = 31% (FY25)

DISCLAIMER: This report is prepared for informational purposes only. It does not constitute investment advice. The analyst does not hold a position in OMNI as of the report date. All financial data sourced from Screener.in. Forward estimates are analyst projections and may differ materially from actual results. Investors should conduct their own due diligence before making investment decisions. Data as of 10-May-2026.